

6-1c FDI Flow and Stock

Another pair of words often used is flow and stock.

FDI flow (The amount of FDI moving in a given period (usually a year) in a certain direction.)

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FDI inflow (Inbound FDI moving into a country in a year.) usually refers to inbound FDI moving into a country in a year, and

FDI outflow (Outbound FDI moving out of a country in a year.) typically refers to outbound FDI moving out of a country in a year. Figures 6.3 and 6.4 illustrate the top ten economies receiving inflows and generating outflows.

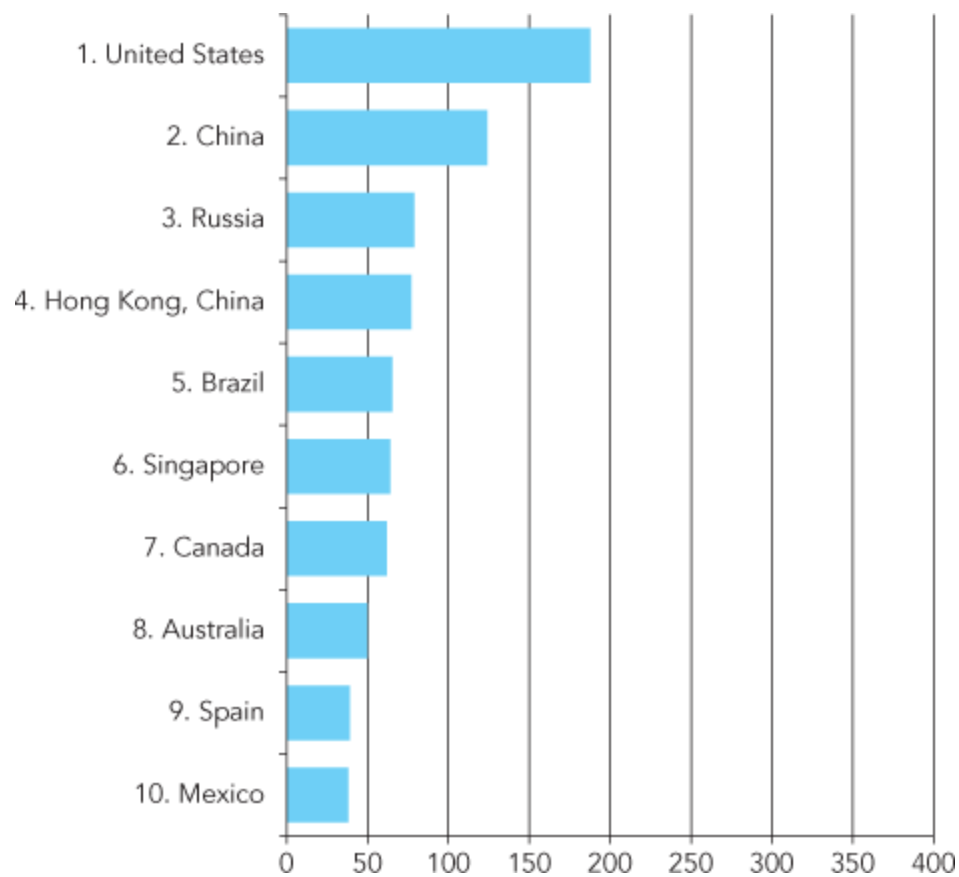
FDI stock (Total accumulation of inbound FDI in a country or outbound FDI from a country during a given period (usually several years).)

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Hypothetically, between two countries A and B, if firms from A undertake US\$10 billion of FDI in B in Year 1 and another US\$10 billion in Year 2, then we can say that in each of these two years, B receives annual FDI *inflows* of US\$10 billion and, correspondingly, A generates annual FDI *outflows* of US\$10 billion. If we assume that firms from no other countries undertake FDI in country B and prior to Year 1 no FDI was possible, then the total *stock* of FDI in B, by the end of Year 2, is US\$20 billion. Essentially, flow is a snapshot of a given point in time, and stock represents cumulating volume.

Figure 6.3

Top Ten Economies Receiving FDI Inflows (Billions of Dollars)



Source: Adapted from United Nations, 2014, *World Investment Report 2014* (p. xv), New York and Geneva: UN. Data refer to 2013.

Figure 6.4

Top Ten Economies Generating FDI Outflows (Billions of Dollars)

Source: Adapted from United Nations, 2014, *World Investment Report 2014* (p. xv), New York and Geneva: UN.
Data refer to 2013.

Chapter 6: Investing Abroad Directly: 6-1c FDI Flow and Stock

Book Title: WGU Economics

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